



“We’re identifying and focussing on clinical segments like allergy, auto immune disorders, etc. We want to strengthen online retail, too”

DR OM MANCHANDA
MANAGING DIRECTOR,
DR LAL PATHLABS



“We’re investing to offer services via digital channels and reinforcing our home collection units to fulfil the changing needs of customers”

ANAND K.
CEO, SRL DIAGNOSTICS

which is a major market for rival Metropolis Healthcare. In the same year, Metropolis purchased Chennai-based Dr Ganesan’s Hitech Diagnostic Centre and its subsidiary, Bengaluru-based Centralab Healthcare Services for ₹636 crore. Gurugram-headquartered SRL Diagnostics completed the DDRCL-SRL joint venture acquisition in April 2021, enabling it to consolidate its market share in Kerala and

strengthen its B2C presence.

The push for M&A deals segues into the larger plan of diagnostics companies to focus on new segments and tap new geographies. Dr Lal PathLabs is focussing on Tier II and Tier III towns especially in north and east India where it is already strong, and on expanding footprint in metros and Tier I towns in south and west India, where its rivals rule the roost. As Covid-19 testing is no more a profitable area, Dr Lal PathLabs aims to focus on wellness packages and preventive health check-up packages, among other things.

“We are identifying and focussing on clinical segments like allergy, auto immune disorders, etc.,” says Dr Om Manchanda, Managing Director of Dr Lal PathLabs. “We also want to strengthen online retail. India is a highly underpenetrated market. Post-Covid-19, diagnostics’ penetration will grow as the practice of medicine becomes more evidence-based, especially in Tier II and Tier III towns.”

Similarly, for SRL Diagnostics, major growth drivers include expanding its test menu to offer more diagnostic solutions, and expanding its network to acquire market share and new customers. For instance, in FY22, SRL added more than 1,000 centres to its network and in Q1FY23, it has added about 250 more. “These new touch points are part of our strategic growth plan. We are investing in our capabilities to offer services through digital touch points as well as reinforcing our home collection units to fulfil changing customer needs post-pandemic,” says Anand K., CEO of SRL Diagnostics.

For SRL, specialised test offerings like genomics diagnostic (analysis of genes to detect genetic disorders) solutions, proteomics (analysis of proteins and their expressions to diagnose respiratory diseases), and metabolomics (analysis of small molecules and

their interactions with genes to detect type 1 diabetes and cancer) will drive the science side of the business. In FY22, the chain added close to 100 tests with a special focus on genomics in cancer, reproductive disorders, rare diseases and inherited disorders.

“This year, we are also working on co-marketing initiatives, clinical trial studies, and contract validation for kit manufacturers and technology providers, and co-development of new biomarkers (biological indicators of blood pressure, sugar or cholesterol level). All of these are new growth avenues,” says Anand.

In addition, SRL, which has prior experience in delivering large PPP projects in collaboration with governments of Himachal Pradesh, Uttar Pradesh and Bihar in providing diagnostic services at subsidised rates, is looking for more such opportunities.

Likewise, Metropolis Healthcare aims to nurture and expand the scope for oncology, pre-natal testing, transplant immunology, and infectious and chronic diseases. “We will continue to build our capabilities in different areas and will look out for more opportunities to offer ‘affordable’ testing to patients as we penetrate further into Tier II and Tier III cities,” says Ameera Shah, Promoter & Managing Director of Metropolis Healthcare. Shah is mindful that in the past two to three years, the industry has gone through several structural changes and consumer behaviour towards health has also changed. “People have become more health conscious and have proactively started investing in health packages to keep a check on their health. Therefore, our goal will now be to focus on 100 per cent of the population, which includes chronic and wellness patients. We aim to target them through wellness packages at good price points, loyalty programmes, etc.,” she says.